

Procure Space ETF

SPCX NASDAQ

Hold **\$154.90 ▲ 2.66%** **12M Price Target \$165.00** **52-Week Range \$104.83 – \$225.64**

Market Cap \$2.04T

SPCX: Space ETF Rides SpaceX Hype, But Puts Piling Up

WHAT HAPPENED

- SPCX ripped 2.66% today, extending yesterday's 5% bounce — the market's clearly getting excited about tomorrow's Starship launch and Cathie Wood dropping a "\$10 trillion opportunity" number for SpaceX. Since SpaceX-related exposure is a huge chunk of this ETF, hype around Elon's rocket company flows directly into the price.
- BUT — options traders are quietly betting against the rally. The put/call ratio flipped bearish with massive put buying at \$150-\$155 strikes expiring this week. Somebody with size is hedging or expecting a "sell the news" moment right after the launch.

WHY IT MATTERS

This is a classic setup where narrative and positioning are pulling in opposite directions. Retail and momentum money is chasing the Starship launch and the AI-in-space thesis (Cathie's "space data centers" pitch), while smart money is quietly buying downside protection — that unusual put flow at \$155 is a tell. Here's what it probably means: even IF the launch is a success, the stock is priced for it, so the risk/reward for chasing here is bad. Longer-term though, the fundamentals matter more than one launch — space is transitioning from a novelty to actual defense/telecom infrastructure, and this ETF is one of the few clean ways to own the theme.

POLICY & POLITICAL WATCH

The big policy tailwind right now is the FY2027 defense appropriations debate — the Space Force budget request is running north of \$30B, with roughly 60% flowing to private contractors that SPCX holds (SpaceX, Rocket Lab, L3Harris, etc.). Also watch the "Gang of 3" story — Musk, Zuckerberg, and Huang calling Trump to oppose AI regulation matters here because SpaceX's Starlink-plus-AI-data-center pitch depends on light-touch federal rules. If Trump sides with them (likely, given his relationship with Musk), that's a green light for the entire commercial space + AI stack. Headwind to watch: any congressional pushback on sole-source Pentagon contracts to SpaceX could pressure the biggest weight in the ETF.

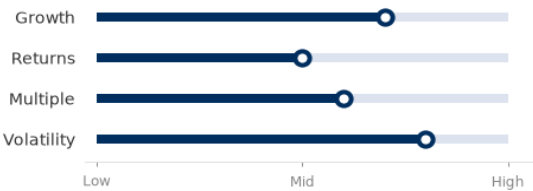
IS IT EXPENSIVE?

SPCX is trading at 41% of its 52-week range, so it's not stretched on a technical basis — but that's misleading because the underlying holdings (especially SpaceX private valuation marks and Rocket Lab) have re-rated hard. You're basically paying a premium for optionality on Starship succeeding and Space Force spending accelerating. Fair, not cheap — I'd want to buy weakness rather than chase strength here.

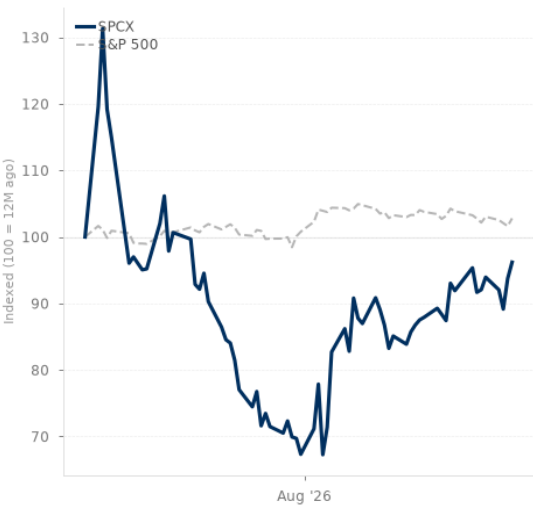
Key Data

Price (USD)	\$154.90
12M Price Target	\$165.00
Upside / (Downside)	+6.5%
Market Cap	\$2.04T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$165.00	\$155.00	\$142.00
6 Months	\$190.00	\$165.00	\$130.00
1 Year	\$225.00	\$180.00	\$120.00
2 Years	\$275.00	\$210.00	\$110.00
5 Years	\$400.00	\$280.00	\$130.00
10 Years	\$650.00	\$425.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.31%) leading again as AI names rally — space ETFs benefit because the "AI needs infrastructure needs satellites/data centers" story is one narrative now. Defense/aerospace also getting a bid on FY27 budget optimism.

COOLING OFF: Utilities and real estate cooling on the week as rate-cut expectations get pushed out — money is flowing OUT of defensive yield plays and INTO growth themes like space and AI.

ROTATION WATCH: Money is clearly rotating into "hard tech" — space, defense, AI infrastructure — because investors see a Trump admin friendly to Musk and to deregulated tech investment. Direct tailwind for SPCX.

RELATED PLAY: If SPCX runs, the picks-and-shovels names benefit too — think Rocket Lab (RKLB) as a pure-play, or ITA (defense ETF) for broader exposure with less single-name Musk risk.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): The clearest pure-play beneficiary of the same launch cadence + Space Force spending thesis, without the ETF wrapper drag.
- LUNR (Intuitive Machines): Lunar/NASA contract exposure — riding the same government-space-spending wave.

SPCX CONTEXT: SPCX is roughly in-line with its underlying holdings, which is what you'd expect from an ETF. It's a smoother way to play the theme, but if you want maximum upside, single names like RKLB will beat it. If you want to sleep at night, SPCX is the safer vehicle.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term thesis a lot, but the near-term setup is crowded and the put flow makes me cautious about chasing here.

POSITION SIZE: 2-4% of portfolio — this is a thematic play, not a core holding, and the volatility is real.

ENTRY POINTS: I'd wait for a pullback to \$140-145, which is where the stock bounced from last week. Chasing \$155 into a launch event with heavy put buying is bad risk/reward.

TIME HORIZON: 12-24 months — the real catalyst isn't tomorrow's launch, it's the FY27 defense budget passing and Starlink/space-data-center revenue actually showing up in numbers.

WHEN TO BAIL: If the Space Force budget gets cut materially in reconciliation, or if there's a public Trump-Musk breakup that puts SpaceX contracts at risk, I'm out.

HEDGING: Simple version — pair this with a broad defense ETF (ITA) so you're not 100% dependent on the space narrative. Or just buy a cheap put a few strikes below current price as insurance around the launch.